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Case Number: 25STCV09520 Hearing Date: July 8, 2026 Dept: 507

Tentative Ruling

Judge Nicholas F. Daum, Department 507

HEARING DATE: July 8, 2026 TRIAL DATE: Nov. 11, 2026

CASE: Willis Oliver v. BMW of North America LLC, et al.

CASE NO.: 25STCV09520

MOTION FOR JUDGMENT ON THE PLEADINGS

MOVING PARTY: Defendants BMW of North America, LLC and Century West BMW

RESPONDING PARTY(S): Plaintiff Willis Oliver.

TENTATIVE RULING:

Defendants' Motion for Judgment on the Pleadings is GRANTED as to the fifth cause of action and otherwise DENIED.

Oliver shall have thirty (30) days leave to amend.

Moving Parties to give notice.

BACKGROUND

This is a lemon law action.

DISCUSSION:

Defendants move for judgment on the pleadings. The Court grants the motion as to the fifth cause of action for negligent repair only.

Legal Standard

A motion for judgment on the pleadings is the functional equivalent to a general demurrer. (*Lance Camper Mfg. Corp. v. Republic Indemnity Co. of Am.* (1996) 44 Cal.App.4th 194, 198). Like demurrers, motions for judgment on the pleadings challenge the legal sufficiency of the allegations, not their veracity. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994). Any defects must either appear on the face of the pleading, or else be taken by judicial notice. (*Bezirdjian v. O'Reilly* (2010) 183 Cal.App.4th 316, 321-22). The parties' ability to prove their respective claims is of no concern. (*Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 99.) Though the Court must accept the allegations of the complaint and answer as true (*Gerawan Farming, Inc. v. Lyons* (2000) 24 Cal.4th 468, 515), it will not do so for "conclusions of law or fact, opinions, speculation, or allegations contrary to law or [judicially noticed] facts..." (*Stevenson Real Estate Servs., Inc. v. CB Richard Ellis Real Estate Servs., Inc.* (2006) 138 Cal.App.4th 1215, 1219-20).

Sufficiency of Pleadings (Warranty Claims)

Defendants contend that the warranty claims are not adequately pled. The Court disagrees. A cursory review of the pleadings demonstrates that ample facts are alleged to support these causes of action.

Negligent Repair

Defendants also attack the negligent repair cause of action as barred by the economic loss rule. The Court agrees. While all reasonable inferences must be drawn in Plaintiffs' favor, the only inference available from the allegation that Plaintiffs delivered the vehicle for repair is that Plaintiffs and CW BMW had some contractual relationship of which the repairs were part. Thus, on its face, this allegation appears to fall within the economic loss rule. (See *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.)

Sufficiency of Pleadings (Fraud)

Defendants argue that the fraud cause of action is inadequately pled. The Court rejects this argument.

1. Duty to Disclose

There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material fact." (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.) A duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff. (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1198, 1199.)

Defendants argue that the pleadings fail to establish a duty to disclose any concealed facts. Ordinarily, a duty to disclose absent a fiduciary relationship "presupposes the existence of [a] relationship between the plaintiff and defendant in which a duty to disclose can arise." (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Defendants' rely on the general rule to argue that there was not a "direct dealing" between the parties that gives rise to a duty to disclose. (See *Bigler-Engler*, supra, at 311.) Defendants' reliance on this general rule as stated in *Bigler-Engler* is misplaced, because it ignores that California

courts have developed a distinct doctrine that applies when, as here, an original seller manufactures or sells a product to whom it reasonably expects the product to be resold.

A vendor has a duty to disclose material facts “not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (OCM Principle Opportunities Fund v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 859-60.) The duty to disclose to subsequent purchasers is limited: the plaintiff must show that the seller had special “reason to expect” that the fraud will be passed onto subsequent purchasers. (Geernaert v. Mitchell (2007) 31 Cal.App.4th 601, 607-08.) Mere foreseeability is insufficient. (Id. [citing Restatement (Second) of Torts § 305 cmt. d (1977)].) In determining whether the seller had “reason to expect” that the fraud will be passed onto subsequent purchasers, courts generally consider two factors: “(1) the extent of the seller’s knowledge of resale to a particular person or class of persons and (2) the likelihood that the particular misrepresentation (or concealment) would be passed on to them.” (Id. at 608.)

Here, the essential allegation is that the plaintiff is a subsequent purchaser of a product manufactured by BMW. Moreover, as alleged, Defendants clearly had reason to expect that the fraud could be passed on. Defendants entered into a warranty agreement with them regarding the subject vehicle. Thus, the pleadings have sufficiently alleged a duty of disclosure on Defendants’ part.

2. Specificity

Defendant argues that the pleadings do not allege fraudulent concealment with adequate specificity. Defendants rely on the general rule for pleading fraud against a corporation, which requires a plaintiff to allege the identity of the speaker, their authority, to whom they spoke, what they said, and when it was said. (See, e.g., Tarmann v. State Farm Mut. Auto Ins. Co. (1991) 2 Cal.App.4th 153, 157.) However, this rule applies differently when the claim of fraud is based upon an assertion of fraudulent concealment. (Alfaro v. Community Housing Improvement System & Planning Association, Inc. (2009) 171 Cal.App.4th 1356, 1384 [“How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?”].) Instead, such details, in the context of a fraudulent concealment claim, “are properly the subject of discovery, not demurrer.” (Id. at 1384-85.)

Moreover, the specificity requirement is “relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts.” (Quelimane Co. v. Steward Title Guaranty Co. (1998) 19 Cal.4th 26, 27.) That is the case here.

3. Economic Loss Rule

Defendants argue that the fraud claim is barred by the economic loss rule. It is not.

Under the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is in contract alone, for he has suffered only ‘economic losses.’” (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988.) The economic loss rule “hinges on a distinction drawn between transactions involving the sale of goods for commercial purposes where economic expectations are protected by commercial and contract law, and those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts.” (Id.) Simply stated, the economic loss rule “prevents the law of contract and the law of tort from dissolving one into the other.” (Id.)

The restrictions on contract remedies serve purposes not found in tort law—they protect the parties’ freedom to bargain over special risks, and they promote contract formation by limiting liability to the value of the promise. (Harris v. Atlantic Richfield (1993) 14 Cal.App.4th 70, 77.) This encourages efficient breaches, resulting in increased production of goods and services at a lower cost to society. (Id.) Because of these overriding policy considerations, the California Supreme Court has proceeded with caution in carving out exceptions to the traditional contract remedy restrictions. (Id.)

Nevertheless, there is a core distinction between a tort committed during an ongoing contractual relationship (which may, or may not, be barred by the economic loss rule) and a tort committed in the formation of a contract. When one party commits fraud during contract formation, the injured party may recover in both tort (for the fraudulent inducement) and in contract (by affirming the contract. (Id.) Allowing recovery in tort for fraudulent inducement to enter a contract does not interfere with parties' freedom to bargain over economic risk, because the fundamental nature of a fraudulent inducement claim is that the parties were not able to properly bargain over economic risk because an initial transaction was induced by fraud.

Defendants argue that this case is governed by the California Supreme Court's recent holding in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, clarifying the application of the economic loss rule to fraudulent concealment in the performance of a contract. The Court disagrees. This action is more properly governed by *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828. The *Rattagan* case was brought by a foreign national against Uber Technologies, Inc. for fraudulent concealment in Uber's performance of a contract. Here, however, the fraudulent concealment claim is grounded in Defendants' alleged fraud in the inducement of the contract. Indeed, our Supreme Court expressly addressed this point, stating "*Rattagan's tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties' chosen rights and obligations. (Rattagan, supra, 17 Cal.5th at p. 41, fn. 12 [italics in original].)*" The Court in *Rattagan* noted that it had granted review of *Dhital* "*which involve[d] claims of fraudulent inducement by concealment*" that the Court specifically declined to address. (Id.)

In *Dhital*, the Court of Appeal addressed the application of the economic loss rule to claims against vehicle manufacturers for fraudulent inducement by concealment. The *Dhital* Court expressly held that the economic loss rule does not bar such claims. (*Dhital, supra*, 84 Cal.App.5th at 833, 843.) The Court of Appeal reasoned that "*the plaintiffs' fraudulent inducement claim alleges presale conduct by Nissan (concealment) that is distinct from Nissan's alleged subsequent conduct in breaching its warranty obligations.*" (Id. at 841.) Review of *Dhital* was dismissed on December 18, 2024 following the issuance of *Rattagan*. (*Dhital v. Nissan North America* (2024) 327 Cal.Rptr.3d 898 (Mem).) *Dhital* is a published opinion addressing an identical issue to the one presented in this case. *Rattagan*, in expressly declining to address the issue presented in *Dhital*, does not supersede that opinion. Cases are not authority for propositions not considered. (*People v. Alvarez* (2002) 27 Cal.4th 1161, 1176.) Inversely, cases are binding authority for propositions expressly addressed. Under *Dhital*, the claim for fraudulent inducement by concealment is not barred by the economic loss rule.

Leave to Amend

When a demurrer is sustained, the Court determines whether there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318). When a plaintiff "*has pleaded the general set of facts upon which his cause of action is based,*" the court should give the plaintiff an opportunity to amend his complaint, since plaintiff should not "*be deprived of his right to maintain his action on the ground that his pleadings were defective for lack of particulars.*" (*Reed v. Norman* (1957) 152 Cal.App.2d 892, 900.) Accordingly, California law imposes the burden on the plaintiffs to demonstrate the manner in which they can amend their pleadings to state their claims against a defendant. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) "*Denial of leave to amend constitutes an abuse of discretion unless the complaint shows on its face it is incapable of amendment. [Citation.]*" Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.)

In deference to the strong precedent in favor of amendment where a fair opportunity has not been given, the Court will grant leave to amend.

Meet and Confer

Before bringing a motion for judgment on the pleadings, the moving party shall meet and confer in person, by telephone, or by video conference with the party who has filed the pleading subject to the motion and file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 439(a).) However, an insufficient meet and confer process is not grounds to overrule or sustain a demurrer. (Code Civ. Proc., § 439(a)(4).)

The declaration of Samantha Sheehan states that counsel for Defendant attempted to meet and confer with opposing counsel via an unspecified method, but was unsuccessful in resolving this dispute. This is not sufficient. Nevertheless, the Court addresses the merits of the demurrer.

Request for Judicial Notice

BMW NA requests that the Court take judicial notice of its Statement of Information filed with the Secretary of State. The request is DENIED. BMW NA seeks to have the Court take judicial notice of the truth of the factual representations within it. This is improper.

CONCLUSION:

Accordingly, Defendants' Motion for Judgment on the Pleadings is GRANTED as to the fifth cause of action and otherwise DENIED.

Oliver shall have thirty (30) days leave to amend.

Moving Parties to give notice.

IT IS SO ORDERED.

Dated: July 8, 2026 _____

Nicholas F. Daum

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.